

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit [www.djreprints.com](http://www.djreprints.com).

<https://www.wsj.com/articles/no-bill-yet-for-facebooks-fixes-1517440332>

HEARD ON THE STREET

Follow

# No Bill Yet for Facebook's Fixes

The social network's changes slow user growth but financials stay strong

By Dan Gallagher

Jan. 31, 2018 at 6:12 pm ET



CEO Mark Zuckerberg has made 'fixing' Facebook his goal for 2018. MARK SCHIEFELBEIN/ASSOCIATED PRESS

So what will it cost to “fix” Facebook? The company’s fourth-quarter results reported Wednesday offered an early clue.

CEO Mark Zuckerberg has made “fixing” the social network his top goal for the new year. He has previously outlined several efforts in this direction—including an overhaul to the company’s key News Feed tool and video efforts. He also has warned that the changes could affect the site’s usage, but added that “protecting our community is more important than maximizing our profit.”

Results reported Wednesday afternoon showed Mr. Zuckerberg was half right, at least for now. Usage indeed took a hit in the fourth quarter, reflecting some of the changes the company had put in place. Facebook reported 1.4 billion daily average users for the period, an increase of only 2.4% from the third quarter. That was the lowest sequential growth on record for this key engagement metric—and down notably from the 4.1% growth the company reported at this time last year. The 33 million daily average users added in the quarter was below the 46 million expected by Wall Street analysts.

But Facebook's fixes are still invisible in its financial statements. In fact, the fourth quarter was the company's strongest on record in many respects. Revenue jumped 47% year over year to just under \$13 billion, fueled by a strong mobile-advertising business. Operating income surged 61% to \$7.4 billion. And Facebook isn't exactly pinching pennies to goose the bottom line: Capital expenditures soared to \$6.7 billion in 2017—a 49% jump from the previous year.

Facebook's profits can be deemed the envy of the tech world. On a trailing 12-month basis, Facebook now generates about 50 cents in operating profit per dollar of revenue. That is roughly twice as much as its megacap tech peers Microsoft Corp., Apple Inc. and Google parent Alphabet Inc.

But investors should still get ready for a slightly less profitable Facebook. Some of the company's more significant changes have yet to be fully reflected, and the changes already in effect may not have hit advertisers' radar. When both hit, that may be the truest test of Mr. Zuckerberg's resolve—and that of his investors.

*Appeared in the February 1, 2018, print edition as 'No Bill Yet for Facebook's Fixes'.*

---

Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

Follow

---

